

Flow1: Card Program Configuration

Product Area: Bank / Program Admin

Version: v1.0 · May 2026

Status: Draft

1. Purpose & Scope

This PRD defines the requirements for **Card Program Configuration** in the Bank / Program Admin console. It is the foundational flow that allows an issuing bank, credit union, or fintech program manager to define a credit card product's metadata, terms, billing cycle, activation rules, and the policies that downstream cardholder-facing surfaces will inherit.

This document covers:

- Defining card product metadata and branding
- Configuring rates, fees, and rewards policy as displayed to cardholders
- Setting billing cycle parameters
- Setting card activation rules (auto vs. manual)
- Enabling/disabling cash advance and configuring allowed autopay methods at the program level

This document does not define:

- UI layouts or screen designs
- Per-cardholder credit limit assignment (see Flow 2: Cardholder Account Management)
- Per-cardholder spend controls (see Flow 7: Spend Controls)
- Statement generation logic (see Flow 6: Statement & Billing Management)
- Underlying ledger, interest accrual, or fee calculation implementation

2. Goals & Success Criteria

Goal	Success Criterion
Program admin can launch a compliant card product without engineering intervention	A new card product can be configured, validated, and published end-to-end via admin UI
Cardholder-facing surfaces always reflect the admin-configured terms	Zero drift between admin-configured APR/fees/rewards and what appears in the cardholder app
Configuration changes are auditable	Every change captured with actor, timestamp, before/after values
Configurations meet US consumer-credit regulatory requirements (Reg Z, CARD Act)	Schumer Box data model is enforced; required fields cannot be left blank before publish

3. Personas

- **Program Admin (primary):** Bank / CU / fintech operator who owns the card product P&L and configures the program.
- **Compliance Reviewer:** Internal stakeholder who approves rate/fee disclosures before publish.
- **Cardholder (downstream consumer):** Sees the configured terms in-app via the "View Credit Terms" surface.

4. Functional Requirements

4.1 Card Product Metadata

The admin can create and edit the following product-level attributes:

- Product name (e.g., "Sapphire Premium Travel")
- Product description (short marketing-safe blurb)

- Product tier / category (e.g., Travel, Cashback, Secured, Student)
- Card art / branding asset upload (front + back, PNG/SVG)
- Card network (Visa / Mastercard)
- Card form factors offered (Physical, Virtual, Both)
- Internal product code (for reporting; not user-facing)

Validation

- Product name must be unique within the program.
- Card art must meet network brand-mark dimensional requirements.
- At least one form factor must be selected.

4.2 Card Terms — Rates, Fees, Rewards Policy

The admin configures the legally binding terms that will be displayed to cardholders and used for application-time disclosure (Schumer Box).

APR fields (Reg Z required)

- Purchase APR (range or fixed; variable indicator)
- Balance Transfer APR
- Cash Advance APR
- Penalty APR (if applicable) and conditions that trigger it
- Introductory APR (if applicable) and duration
- Grace period (in days; standard is 21+)
- Variable rate index reference (e.g., Prime Rate + margin)

Fees

- Annual fee
- Late payment fee (schedule per CARD Act safe harbor)
- Returned payment fee
- Cash advance fee (% and minimum)
- Foreign transaction fee (%)

- Balance transfer fee
- Over-limit fee (if opted in per Reg Z opt-in rule)
- Minimum interest charge

Rewards Policy

- Reward type — **must be selected as a single value:** `points` OR `cashback` OR `miles`
> Audit reference (Finding #17): the admin schema must prevent simultaneous display of points and cashback for the same product unless an explicit cross-redemption ratio is also defined.
- Earn rates per merchant category (MCC bucket or named category)
- Base earn rate
- Bonus / promotional earn rates with start and end dates
- Point-to-dollar conversion ratio (if `points` or `miles`)
- Redemption options enabled (statement credit, gift card, travel, transfer)
- Expiration policy — Never expire / Expires after N months of inactivity / Expires on account closure
- Forfeiture conditions — must be explicitly captured (e.g., delinquency, account closure)

Validation

- All Schumer Box fields are required before publish.
- If `points` reward type is selected, a non-zero conversion ratio is required.
- Forfeiture and expiration fields must be filled even when “Never expire” is selected (this is the explicit affirmative declaration cardholder-facing disclosure will rely on).

4.3 Billing Cycle Configuration

- Cycle type — **monthly** (MVP supports monthly only)
- Cycle anchor — Calendar month / Cardholder-anchored (based on account open date)

- Statement close offset (days after cycle end before statement is finalized)
- Payment due date offset (must be ≥ 21 days after statement close per Reg Z grace period)
- Late payment determination rule (cutoff time on due date)

Validation

- Payment due date offset ≥ 21 days from statement close. The system blocks publish if this is violated.
- Time zone for cutoff time must be explicit (no implicit local).

4.4 Card Activation Rules

- **Activation mode:** Auto-activate on issuance / Manual activation by cardholder
- **For Manual:** which activation channels are enabled (in-app, IVR, web)
- **For Physical cards:** whether virtual card is immediately usable while waiting for physical delivery
- **Step-up authentication required for activation (Y/N)**

4.5 Cash Advance Program-Level Toggle (Next Version)

- Cash advance enabled for this program (Y/N)
- If enabled: per-transaction limit, daily limit, monthly limit (defaults; overridable at cardholder level per Flow 7)
- Cash advance APR (must be $\geq$ Purchase APR per common practice; warn if lower)

4.6 Allowed Autopay Methods (Program Level)

Defines which autopay options will be available to cardholders configured in this program. Detailed autopay execution rules are in Flow 4.

- Minimum Payment Due — enabled by default, cannot be disabled
- Statement Balance — toggle
- Fixed Amount — toggle (issuer-enabled per Autopay Rules §3)

- Execution timing — Due date / N days before due date
- Reminder notification timing (days before execution)

4.7 Publish & Versioning

- Configurations are saved as **drafts** by default
 - Publishing requires:
 - All required fields complete
 - Compliance reviewer sign-off (role-gated action)
 - Confirmation modal showing diff vs. currently live version
 - Each published version is immutable and assigned a version number
 - Changes to a published product create a new draft; live version continues to serve until the new draft is published
 - Historical versions remain queryable for audit and for accounts opened under prior terms
-

5. Business Rules

1. A program may have multiple card products; each is configured independently.
 2. Term changes (APR, fees) applied to existing cardholders require a separate “change-in-terms” flow with regulatory notice timing (45 days for adverse changes per Reg Z); this PRD covers configuration capture only — notification orchestration is a downstream system concern.
 3. Rewards type cannot be changed for active accounts; a change requires either a product migration or a new product offering.
 4. Card art and marketing copy can be changed without compliance gate (cosmetic-only changes are flagged automatically).
-

6. Related Flows

Depends On	Reason
Flow 2: Cardholder Account Management	Account creation references the published product version
Flow 4: Autopay Policy & Management	Inherits allowed autopay methods configured here
Flow 6: Statement & Billing Management	Inherits billing cycle configuration
Flow 7: Spend Controls	Inherits program-level cash advance enable/disable
End-Client: View Credit Terms	Reads APR / fees / rewards from this configuration
End-Client: View Statement, Account Overview	Reads billing cycle from this configuration

7. Edge Cases

Case	Expected Behavior
Admin attempts to publish without Schumer Box fields complete	Publish blocked; missing fields highlighted
Admin changes APR while accounts are active	Configuration is saved as new version; change-in-terms downstream process flagged; no live impact until that process completes
Admin disables cash advance program-wide	New transactions decline; existing cash advance balances continue to accrue per existing terms
Admin disables Statement Balance autopay option	Cardholders currently enrolled in Statement Balance autopay are grandfathered until they change their selection; no forced switch
Card art upload fails network brand validation	Upload rejected with specific failure reason
Reward type changed in draft from points to cashback	Warning surfaced: "This change cannot be applied to existing cardholders. Continue?"

8. Compliance Notes

- **Reg Z (12 CFR 1026.60):** The Schumer Box data captured here is the source of truth for application-time disclosure. Required fields cannot be optional.
 - **CARD Act:** Late fee schedule must reference current safe-harbor amounts; admin UI surfaces current safe-harbor reference values.
 - **FTC / TISA:** Reward terms (including forfeiture and expiration) must be captured affirmatively, not by omission.
 - **Reg Z grace period:** ≥ 21 days between statement close and payment due date is enforced at config time.
-

9. Open Questions

- Should compliance reviewer be a separate role, or can a program admin self-attest with audit trail?
- Should the system enforce a maximum number of active card products per program?
- Future: support for non-monthly billing cycles (bi-weekly, custom).
- Future: A/B'd card art per region or applicant cohort.